

ALPHA FIRE SERVICES PLC



Interim Financial Report Period Ended 30 June 2024



*DECADES OF EXCELLENCE IN FIRE
FIGHTING SINCE 1989*

ALPHA FIRE SERVICES PLC
STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 30 June,

	2024	2023	Change
	Rs.	Rs.	%
Revenue	82,145,433	80,025,560	3%
Cost of sales	(46,419,494)	(52,360,017)	-11%
Gross profit	35,725,939	27,665,543	29%
Administrative expenses	(17,388,178)	(12,083,367)	44%
Selling and distribution expenses	(5,984,475)	(2,763,719)	117%
Profit from operations	12,353,286	12,818,458	-4%
Finance income	1,099,895	636,495	73%
Finance expenses	(2,833,062)	(3,940,642)	-28%
Net finance income / (expenses)	(1,733,167)	(3,304,147)	-48%
Profit before taxation	10,620,120	9,514,311	12%
Income tax expenses	(2,891,859)	(2,816,104)	3%
Profit after taxation	7,728,261	6,698,207	15%
Other comprehensive income			
Depreciation against revaluation reserve	(613,595)	-	
Other comprehensive income for the year	(613,595)	-	100%
Total comprehensive income	7,114,665	6,698,207	6%
Earning per share (Rs.)	0.20	0.18	

ALPHA FIRE SERVICES PLC
STATEMENT OF FINANCIAL POSITION

<i>As at</i>	30 June 2024	31 March 2024
	Rs.	Rs.
Assets		Unaudited
Non-current assets		
Property, plant & equipment	75,785,598	72,407,471
Term deposits	31,329,251	30,435,966
Total non-current assets	107,114,849	102,843,437
Current assets		
Inventories	122,204,287	84,890,906
Trade and other receivables	51,097,742	95,405,150
Cash margin account	8,546,357	10,130,325
Cash and cash equivalents	18,473,672	13,826,017
Total current assets	200,322,058	204,252,398
Total assets	307,436,907	307,095,835
Equity and liabilities		
Equity		
Stated capital	76,429,460	76,429,460
Revaluation reserve	23,267,164	23,880,760
Retained earnings	63,043,916	55,315,654
Total equity	162,740,540	155,625,874
Non-current liabilities		
Retirement benefits obligation	4,535,418	4,640,418
Bank borrowings	4,761,459	1,833,317
Deferred tax liabilities	9,262,606	9,262,606
Total non-current liabilities	18,559,483	15,736,341
Current Liabilities		
Bank borrowings	7,943,344	10,591,125
Amount due to related parties	1,021,414	1,381,414
Short term bank borrowings	52,313,894	33,196,850
Trade and other payables	28,540,368	56,945,908
Income tax payable	2,991,546	99,673
Bank overdrafts	33,326,318	33,518,650
Total current liabilities	126,136,884	135,733,620
Total liabilities	144,696,367	151,469,961
Total equity and liabilities	307,436,907	307,095,835

Net Assets Value Per Share

4.29

4.10

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.

Head of Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
 Approved and signed on behalf of the Board of Directors.

Chairman

15 August 2024

Director

ALPHA FIRE SERVICES PLC
STATEMENT OF CHANGES IN EQUITY

For the three months ended 30 June,

	Stated capital <u>Rs.</u>	Revaluation reserve <u>Rs.</u>	Retained earnings <u>Rs.</u>	Total <u>Rs.</u>
Balance as at 01 April 2023	25,569,560	26,335,143	22,481,253	74,385,956
Share issued during the year	50,859,900	-	-	50,859,900
Total comprehensive income for the year				
Profit for the year	-	-	37,388,402	37,388,402
Other comprehensive income for the period	-	(2,454,383)	-	(2,454,383)
Dividend Distribution			(4,554,000)	(4,554,000)
Balance as at 31 March 2024	76,429,460	23,880,760	55,315,655	155,625,874
Balance as at 01 April 2024	76,429,460	23,880,760	55,315,655	155,625,874
Total comprehensive income for the year				
Profit for the year			7,728,261	7,728,261
Other comprehensive income for the period		(613,595)		(613,595)
Balance as at 30 June 2024	76,429,460	23,267,164	63,043,916	162,740,540

ALPHA FIRE SERVICES PLC
STATEMENT OF CASH FLOWS

For the three months ended 30 June,

	2024	2023
	Rs.	Rs.
Cash flows from operating activities		
Profit before taxation	10,620,120	9,514,311
Adjustments for:		
Depreciation of property plant and equipment	463,312	1,115,154
Interest income	(1,099,895)	(636,495)
Loan interest	2,833,062	3,940,642
Operating profit before changes in working capital	12,816,599	13,933,612
Changes in working capital		
(Increase)/ decrease in inventories	(37,313,381)	(10,879,532)
(Increase)/ decrease in trade and other receivables	44,307,408	17,427,451
Increase/ (decrease) in amount due to related parties	(360,000)	2,604,832
Increase/ (decrease) in trade and other payables	(28,405,539)	(6,870,600)
Cash generated from / (used in) operations	(8,954,912)	16,215,763
Gratuity paid	(105,000)	(210,000)
Net cash flow generated from / (used in) operating activities	(9,059,912)	16,005,763
Cash flows from investing activities		
Acquisition of property, plant and equipment	(4,455,035)	-
Interest Income	106,001	-
(Investment in) /withdrawal of cash margin	1,583,968	1,057,981
Net cash flow used in investing activities	(2,765,066)	1,057,981
Cash flows from financing activities		
Received from Share Issues (Rights Issue)	-	50,859,900
Long term loan (paid) / received	380,982	(4,798,825)
Short term loan (paid) / received	19,117,044	(24,840,616)
Loan interest paid	(2,833,062)	(3,940,642)
Lease rental paid	-	(389,192)
Received /(settlement) of related parties' loan	-	(7,300,000)
Net cash flow (used in)/generated from financing activities	16,664,964	9,590,625
Net changes in cash and cash equivalents during the year	4,839,987	26,654,369
Cash and cash equivalents at beginning of the year	(19,692,633)	(17,472,426)
Cash and cash equivalents at end of the year	(14,852,646)	9,181,943

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS

For the three months ended 30 June,

1 Basis of Preparation

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2023 and are in compliance with LKAS 34 – Interim Financial Reporting. The presentation and classification of comparative information have been amended where relevant. The interim financial statements are not audited.

2 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

3 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

4 Rights Issue

The Company has raised the fund Rs.50.8 Mn by rights issue for the said objectives of the circular. The status of the utilization of the fund for the objectives is listed below.

Objective as per circular	Amount Allocated by Circular	% Total Proceeds	Amount Utilized	% Utilized
Working Capital Requirement	Rs.40.8 Mn	80.3%	Rs.40.8 Mn	100%
Repayment of Debts	Rs.10 Mn	19.7%	Rs.10 Mn	100%

5 Subdivision of Shares

Shareholders of the Company at its Extraordinary General Meeting held on 16 January 2024 has approved that the number of ordinary shares of the Company in issue be increased by way of a sub-division of shares where by one (01) ordinary share was subdivided in to five (5) ordinary shares. The resulting number of shares after the sub-division is 37,950,000. There was no change to the stated capital of the Company subsequent to the said sub-division of shares. The company has concluded the sub-division on 26 January 2024.

6 Capital Expenditure

The Company has incurred Rs.4.45Mn for capital expenditure for the reporting period.

7 Management Fee

The Company has made a provision for Management Fee Rs.2.7 Mn payable to M/S Amtek Engineering (Pvt) Ltd for the reporting period.

8 Earning per share

Earnings per share is calculated by dividing the profit attributable to the equity holders by number of ordinary shares in issue during the reporting period.

	30 June 2024	30 June 2023
Net profit attributable to equity holders (Rs.)	7,728,261	6,698,207
Number of shares in issue	37,950,000	37,950,000
Earnings Per Share (Rs.)	0.20	0.18

9 Net Assets per share

Net Assets per share is calculated by dividing the total equity by number of ordinary shares in issue during the reporting period.

	30 June 2024	31 March 2024
Total Equity	162,740,540	155,625,874
Number of shares in issue	37,950,000	37,950,000
Net Assets Per Share (Rs.)	4.29	4.10

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS

For the three months ended 30 June,

10 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		30 June 2024	30 June 2023
Amtek Engineering (Pvt) Ltd - Common Directors Mr. Sanjay Vijith Anthony Perera Mr.Malindra Christopher Fernando Mr.Samud Gunasekera	Office Expenses		
	Reimbursement	645,000	600,000
	Management Fee	2,700,000	1,800,000
Mrs.Deanna Ryde	Rent	150,000	120,000
Directors Fee		180,000	80,000

ALPHA FIRE SERVICES PLC

SHAREHOLDERS INFORMATION

The issued ordinary shares of the Company is 37,950,000

LARGEST 20 SHAREHOLDERS AS OF 30 JUNE 2024

	NAME OF THE SHAREHOLDERS		NO OF SHARES	%
1	MR. S.V.A. PERERA	10,466,500		
	DFCC BANK PLC/MR.S.V.A.PERERA	539,000	11,005,500	29.00%
2	MR. M.C. FERNANDO	7,896,375		
	DFCC BANK PLC/MR.M.C.FERNANDO	13,750	7,910,125	20.84%
3	MR. A.S.I. GUNASEKERA		3,819,445	10.06%
4	PEOPLE'S LEASING & FINANCE PLC/ULTRAKLEEN (PVT) LTD		2,399,070	6.32%
5	MR. D.A. RYDE		1,690,500	4.45%
6	MR. F.A. RYDE		1,690,500	4.45%
7	MR. R.C.D. DE SILVA		1,677,976	4.42%
8	MRS. T.T.A. DE SILVA WEERASOORIA		1,354,638	3.57%
9	MRS. M.P.R. SILVA		1,155,000	3.04%
10	MR. J.R. VICTORIA		788,725	2.08%
11	MISS H.I. LOKUGE		750,000	1.98%
12	MR. R.J.A. GUNAWARDENA		400,000	1.05%
13	SANDWAVE LIMITED		394,007	1.04%
14	MRS. C. DISSANAYAKE		335,000	0.88%
15	MR. B.T. DE S WEERASOORIA		198,494	0.52%
16	MRS. I.M. AMARASIRIWARDANE		152,190	0.40%
17	MR. S.C. WEERASOORIA		125,000	0.33%
18	MR. N.U. WIJESEKERA		125,000	0.33%
19	MR. P.L.G. NIMAL		114,500	0.30%
20	MR. A.K. WIMALARATNA		100,350	0.26%
	Others		1,763,980	4.65%
	Total		37,950,000	100.00%

Public Holding

Public Holding - No of Shares	9,434,860
Public Holding as a % of Issued Share Capital	24.86%
Total No. of Shareholders representing the Public Holding as at 30 June 2024	362

Directors' Shareholding

	No of Shares
Mr. Sanjay Vijith Anthony Perera	11,005,500
Mr.Malindra Christopher Fernando	7,910,125
Mrs. Deanna Marise Ryde	Nil
Mr. Agampodi Samud Ishara Gunasekera	3,819,445
Mr. Kapila Liyanagamage	Nil
Mr. Nivran Joseph Weerakoon	Nil

Share Price

	30 June 2024
Highest Price	8.50
Lowest Price	6.80
Last Traded Price	6.90

Corporate Information

The Company Registered Office

Alpha Fire Services PLC
No, 28, Sulaiman Terrace, Colombo-05
Sri Lanka
Tel: +94 11 508 888 / 0777 747 317
Fax: +94 112 503 392
Web: <http://alphafire.lk>

Legal Form of the Company

Incorporated in Sri Lanka on May 07, 2003 and reregistered on October 16, 2007 as a Private Limited Liability Company under the provisions of Companies Act No. 7 of 2007. The legal form of the company was changed from Limited Company to Public Listed Company under provision of the section 8 of the Companies Act No. 07 of 2007 on July 04, 2022

Company Registration Number (as a Public Company)

PQ00248999

Place of Incorporation

Colombo, Sri Lanka

Company Secretaries

Ms. F. S. Ismail
168/5, Elvitigala Mawatha,
Colombo 08,
Sri Lanka
Tel: +94 11 2695009

Auditors

M/s KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03,
Sri Lanka
Tel: +94 11 5426426
Fax: +94 11 2445872

Board of Directors

Mr. Sanjay Vijith Anthony Perera	Chairman/Managing Director /Executive Non-Independent Director
Mr. Malindra Christopher Fernando	Executive Non-Independent Director
Mrs. Deanna Marise Ryde	Co-Founder/Non-Executive Non- Independent Director
Mr. Agampodi Samud Ishara Gunasekera	Executive Non-Independent Director
Mr. Kapila Liyanagamage	Independent Non-Executive Director
Mr. Nivran Weerakoon	Independent Non-Executive Director